

To: Board of Education
From: Dr. Kimberlee Armstrong, Superintendent
Cc: Jon Franco, Senior Chief of Operations
Deborah Kafoury, Chief of Staff
Sharon Toncray, Chief Legal Officer
RE: Procedeo Contract
Date: November 25, 2025

BACKGROUND

Portland Public Schools is at a critical juncture in the successful delivery of its capital program. To ensure that our largest and most complex projects remain on schedule, within budget, and aligned with community expectations, the District is engaging Procedeo as the bond program management firm responsible for overseeing three high school modernizations and the Center for Black Student Excellence (CBSE). This strategic partnership strengthens our capacity, stabilizes project leadership, and supports a more predictable and transparent delivery of voter-approved improvements.

SUMMARY OF PPS REQUEST FOR PROPOSALS (RFP) PROCESS

Portland Public Schools followed its standard, competitive Request for Proposals (RFP) process to select the most qualified firm. The solicitation was formally issued on October 7, opening the window for interested firms to participate. Vendors were able to submit written questions through October 17, ensuring all proposers received consistent and clarified information. PPS issued the final addenda on October 23, incorporating questions and any required updates.

Proposals were due on October 30, after which the Evaluation Committee independently reviewed and scored all submissions in accordance with the published criteria. The Evaluation Committee was composed of: Jon Franco, Senior Chief of Operations; Deborah Kafoury, Chief of Staff; Dana White, Senior Director of Real Estate and Construction; Stephen Effros, Project Manager, Office of School Modernization; and Linda Degman, General Counsel, Pence Construction. Three firms submitted proposals.

After scoring of the written proposals, two firms advanced to interviews held November 14, allowing the committee to further assess experience, capacity, and alignment with District



needs. Based on the combined evaluation of written proposals and interviews, PPS issued a Notice of Intent to Award to Procedeo on November 17.

SCOPE OF WORK

The scope of work for this contract includes full project management services for the three high school modernizations and the Center for Black Student Excellence (CBSE), as well as administrative oversight of the Office of School Modernization. Procedeo will provide comprehensive leadership, management, coordination, and financial, analytical, and communications support to ensure each project is delivered successfully within the timeframes and budgets established by Portland Public Schools.

Procedeo's general services for each project include: fiscal and budget management; development and maintenance of the project management plan; project scheduling; project controls; management of contingencies; design and engineering review; preconstruction coordination; construction phase oversight; and occupancy and post-occupancy services.

Procedeo will ensure strong collaboration and accountability with Construction Manager/General Contractors (CM/GCs) and General Contractors, maintain rigorous adherence to established risk-management practices, and support all program and project audits, insurance requirements, and safety standards. These responsibilities are essential to delivering high-quality, community-aligned school facilities across the District.

COMPENSATION STRUCTURE

Procedeo will receive a base compensation of approximately $55,066,000, which represents 4% of the estimated combined remaining budgets for the three high school modernizations, the Center for Black Student Excellence (CBSE) construction, and administrative oversight of the Office of School Modernization. This base compensation reflects the comprehensive scope of program and project management support required to successfully deliver these large scale capital investments.

In addition to the base compensation, the contract includes an incentive compensation component designed to reinforce accountability and performance. These incentives are tied to key outcomes, including the successful, timely, and on-budget completion of projects, as well as key staff retention, ensuring stability and continuity across all phases of the program. PPS has never simultaneously executed on four significant capital projects, and the compensation structure incentivizes timely completion of all projects.



INDUSTRY CONTEXT

The base compensation of 4% of total project budgets for Procedeo is consistent with industry standards for large-scale K–12 capital programs. Typical program or project management fees for multi-site modernization projects range from 3–6% of construction costs, depending on complexity, risk, and scope of services.

In the context of the current construction market, with elevated labor costs, the 4% base fee represents strong value while ensuring Procedeo has sufficient resources to deliver projects on time, on budget, and with consistent quality. The inclusion of performance-based incentives further aligns compensation with successful project completion and staff retention, reinforcing accountability and continuity across the program.

CONNECTION TO BOARD GOALS

The new modernized high schools and the Center for Black Student Excellence will provide students with an equitable, individualized, high-quality learning experience and the tools to reach their full potential within an environment that is safe, healthy, and joyful. The new high schools and the CBSE will embody PPS's Mission, Vision and Values, and its Climate Policy, to strengthen the future of its students and its communities.

STAFF RECOMMENDATION

Staff recommends approval of the Procedeo contract.